

TYPES OF FIXED INCOME

COMMERCIAL PAPER

When we buy commercial paper, we are effectively lending the amount to the company that has issued the paper for a short-term basis. On maturity, the company is liable to pay us a maturity amount as mentioned on the commercial paper.

BONDS

Bonds are similar to commercial paper but are issued for a longer-term. Bonds can take years to mature. For instance, we buy bonds worth Rs.10,000 issued by Asian Paints that pays 7% p.a. interest and matures in 5 years. So the company will pay Rs. 700 as interest every year and at the end of 5 years, it will repay the principal amount of Rs.10,000.

TREASURY NOTES

Just like companies raise money in the form of debt from the public, similarly, RBI also borrows money from the public. They do so by issuing treasury notes. These are similar to bonds, have long maturity periods, and pay interest rates. The only difference is, they are backed by the government whereas bonds are backed by companies. They are the safest form of bonds and offer the lowest interest rate because of safety.